MARKET RESEARCH REPORT

Rural Consumer Behaviour and Market Observation Study

Shampoo Category — Prepared for Nova Consumer Products Pvt. Ltd. (NOVA)

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Subject: Consumer Behaviour in Urban and Rural Markets

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Number of Kirana Stores Covered: 5

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1. Introduction

Even brand advertisement has a limited impact on FMCG in rurals and peri-urban markets in India and the influence of retailer relationship and pricing remains equally strong. A closer look at the character of these markets shows that many are becoming increasingly heterodox, with old residents of the poor villages and the new arrivals, residents who are more familiar with brands. Knowing this transition is focal to the FMCG company's rural go-to-market approach, including NOVA's.

2. Objectives of the Study

- To gain insights into market availability, price and packaging of the available shampoos in rural/peri-urban Kirana stores.
- To uncover the rural customers' purchasing motivations under this category.
- To evaluate brand loyalty, brand switching and brand receptivity.
- To determine the impact of the retailer on the purchase decision.
- To understand and measure the level of adoption for Digital payment & ordering relevant to go-to-market planning.
- Identify data that can be used to develop market entry recommendations for NOVA.

3. Research Methodology

Parameter	Detail
Research type	Exploratory, qualitative field research
Method	Direct store observation + semi-structured retailer interviews
Sample	5 kirana/general stores; 5 retailer interviews; 1 customer respondent
Locations	Kodathi
Instruments	Store Profile sheet, Observation checklist, Retailer interview guide, Customer questionnaire, Photograph checklist
Sampling approach	Convenience/purposive — stores selected for spread across village size and footfall
Data recording	Structured data-recording sheets (store, brand, price, packaging, consumer and retailer response logs)

4. Store Observation Findings

Store	Area	Type	SKUs	Top Brand	Format Mix
Manjushree Condiments	Kodathi	Kirana	24 per brand(*2)	Dove	Sachet-only
Revanth Traders	Kodathi	Kirana	960 per brand(*9)	Clinic Plus	Sachet-only
KRV General Store	Kodathi	Kirana	960 per brand(*6)	Clinic Plus, Chik	Sachet-only
SLV General Store	Kodathi	Kirana	960 per brand(*7)	Dove	Sachet-dominant
MK Praja Store	Kodathi	Kirana	3840 – 4800 per week(4 – 5 boxes)	Clinic Plus, Head & Shoulders	Sachet-only

Across all five stores, the space occupied by the sachets is at the top shelf which are at eye level, directly above the counter and on the header-cards and there are no bottles visible unless asked and only one store sold bottles. Two stores were observed to be almost out-of-stock (Manjushree Condiments—Dove; Kodathi — Clinic Plus sachet) both due to weekly instead of on-demand visits by distributors.

5. Retailer Insights

5.1 Sales Patterns

Clinic Plus and Dove sachets were mentioned by the retailers as best-sellers in four out of five shops, and it was also noted that the retailers saw no preference, but just a familiarity with the prices. Head & Shoulders reported patient increases in seasonal use with a lift related to dust/dandruff use in the dry season.

5.2 Brand Loyalty and Switching

Retailers said most customers were ‘habitual' and did not often change brands as much as were forced to. The retailer from Revanth Traders has mentioned that the consumers don’t put a lot of time in thinking of which shampoo to buy and usually stick to a single brand irrespective of any season.

5.3 Retailer Influence

The five retailers were all a trusted place for new or unfamiliar shoppers, especially first-time buyer. A feature particularly given by retailers in Kodathi where the retailer's personal recommendation was cited as the deciding factor for women customers(anti-dandruff).

5.4 New Product Acceptance

The most common enabler of trial across the five retailer interviews were “free sachet samples”. As secondary, but significant, retailer tries to push for a brand only if they find any margin.

5.5 Sustainability

Attention to customers' side sustainability concern was low in all the stores, as the customers were mostly daily wage workers and construction labourers and did not focus on the sustainability aspect at all. There was also lack of awareness.

5.6 Digital Adoption

There was a wide variation in digital payment infrastructure/usage depending upon the store location and the profile of the customer. Daily wage workers and children sent by parents to bring the provisions mostly preferred cash. The payment mode also majorly focused on the quantity of the purchases.

6. Consumer Behaviour Analysis

Concept	Field Evidence & Interpretation
Habitual Buying Behaviour	Sachet purchases described by retailers as quick, low-deliberation, and repeat-pattern rather than actively evaluated each time.
Brand Loyalty	High in four of five stores (repeat purchase of Clinic Plus/Dove/Chik despite no active comparison).
Variety-Seeking Behaviour	No specific interests shown to try a new brand, but customers are open to shift to another variant of the same brand, mostly due to unavailability of the variant they usually purchase.
Consumer Decision-Making Process	Compressed to Need Recognition → Purchase in low-involvement, habitual segments.
Perception	Sachets are perceived as "convenient and cost-effiecient" largely through inherited association (Kodathi respondent: "my mother used it") rather than active ingredient evaluation — an example

	of perception formed via heuristic, not analysis.
Motivation	Price-led motivation dominates in lower-footfall stores; functional motivation (dandruff control) surfaces in very low percentage, self-expression/identity motivation has not appeared in any of the stores.
Learning	Repeat satisfactory sachet purchases reinforce stimulus-response learning (buy what worked before); One of the store's pattern of buying "whatever ₹1 sachet is available" shows learning has been overridden entirely by price constraint.
Attitude Formation	Positive attitudes toward trusted retailer recommendations were reported, but in a less percentage, attitude here is formed via a trusted third party (the retailer) and also through direct product experience.
Reference Group Influence	Interviews did not reveal anything about purchase behaviour that has been formed due to influences.
Family Influence	Retailers across stores describe the woman of the household as the primary decision-maker.
Rural Consumer Behaviour	Confirms classic rural FMCG patterns like sachet dominance, extreme price sensitivity, retailer-mediated trust — but shows these are not uniform even within a single micro-region.
Perceived Value	Value is defined primarily as price-per-use in habitual segments, but shifts toward efficacy-per-use (dandruff control) which is very rare.
Retailer Influence	Functions as the dominant trust mechanism for new-product trial across all five stores though retailers push it only if they find benefit, arguably the single most consistent finding of this study.
Packaging Psychology	Sachets are chosen not only for price but for budget-control psychology ("buying small amounts as needed).
Point-of-Purchase Behaviour	Eye-level sachet placement directly above the counter was observed to correlate with retailer-reported sales dominance — a clear POP-visibility effect independent of brand strength.

7. Key Findings

- Sachets continue to remain the basic format for all the five stores.
- The strongest recommendation signal for new brand trial in the entire sample comes from the retailer.
- The claim that consumption of Brands is a habit stemming from availability rather than true brand attachment is correct, however fragile such loyalty is when consumers opt for quicker access in the form of other offerings.
- Even in the same small geographical area, price sensitivity remained uniform.
- Payment mode did not depend on the background of the consumer. Even daily wage workers used digital payment methods.
- Sustainability is still not part of the core rural segment's purchase motives.

8. Recommendations to NOVA

- Enter the market with sachets. Keep the price around ₹1–2 for easy trial.
- Build strong retailer relationships. Offer good margins and simple sales pitches.
- Use free sampling to drive trial. This works better than advertising here.
- Secure prime shelf space. Aim for eye-level placement above the counter.
- Price competitively at entry level. Make sure a ₹1 option exists for price-sensitive buyers.
- Introduce an anti-dandruff variant. Target women during the dry season.
- Strengthen the distribution cycle. Frequent restocking matters more than adding new SKUs.
- Hold off on sustainability messaging. Rural awareness isn't ready for it yet.
- Keep payments cash-friendly. Offer digital options but don't force them.
- Speak to the household, not just the buyer. Women influence decisions even if others purchase.
- Follow a dual strategy. Use price-led sachets for most buyers, and a light brand story for the more aware segment. number one in this market is through the retailer's endorsement.

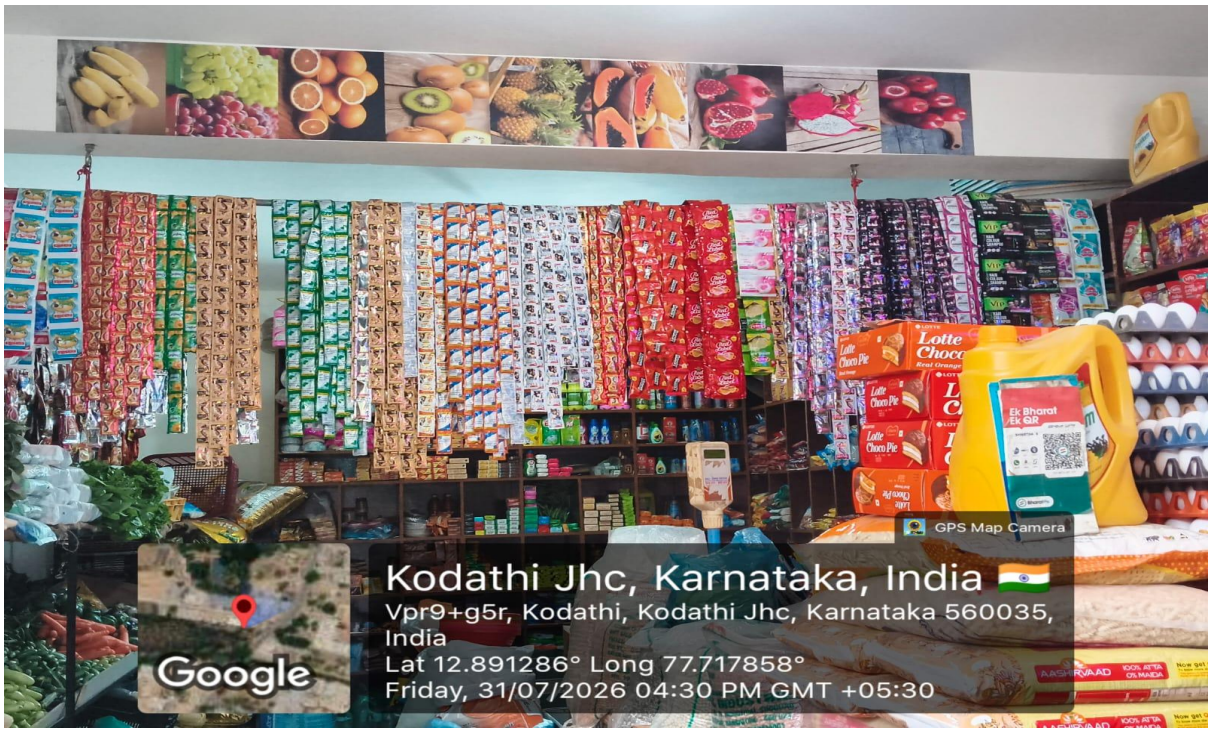
9. Conclusion

The findings of this study validate the major findings of the previous studies that the purchasing of shampoo in kodathi is more price sensitive and less brand loyalty, with sachet market dominating, and that brand loyalty is more about inertia than preference. Retailers turned out to be the most important touch point in the purchase journey, and both first-time and functional-need buyers trusted the retailers as their advisors for buying a new product. Free sampling, not advertising, was the most important reason for first-time product buyers to try the new product. Meanwhile, the study uncovered the beginnings of market evolution – namely a small functional benefit segment, a growth in women's influence in household decision making, and an inconsistent but growing rate of digital payment adoption – as well

as supply chain issues that were more of an impediment than a lack of demand. This means that NOVA must balance the price of its initial product offering—sachets—and its ability to gain acceptance from its brick-and-mortar partners, incorporate trial mechanisms that will require consumers to sample the product before purchasing, and simply tell a functional story with little frills to step in and grab the attention of the more discerning consumer in a growing market

10. Pictures of Visit






SLV General Store
HANUMANTHAREDDY BADAVANE
S.L.V. General Store
GPS Map Camera
Kodathi Jhc, Karnataka, India
Vpr9+qcf, Kodathi Vlg Rd, Kodathi, Kodathi Jhc, Karnataka 560035, India
Lat 12.891868° Long 77.718616°
Friday, 31/07/2026 04:26 PM GMT +05:30
Google

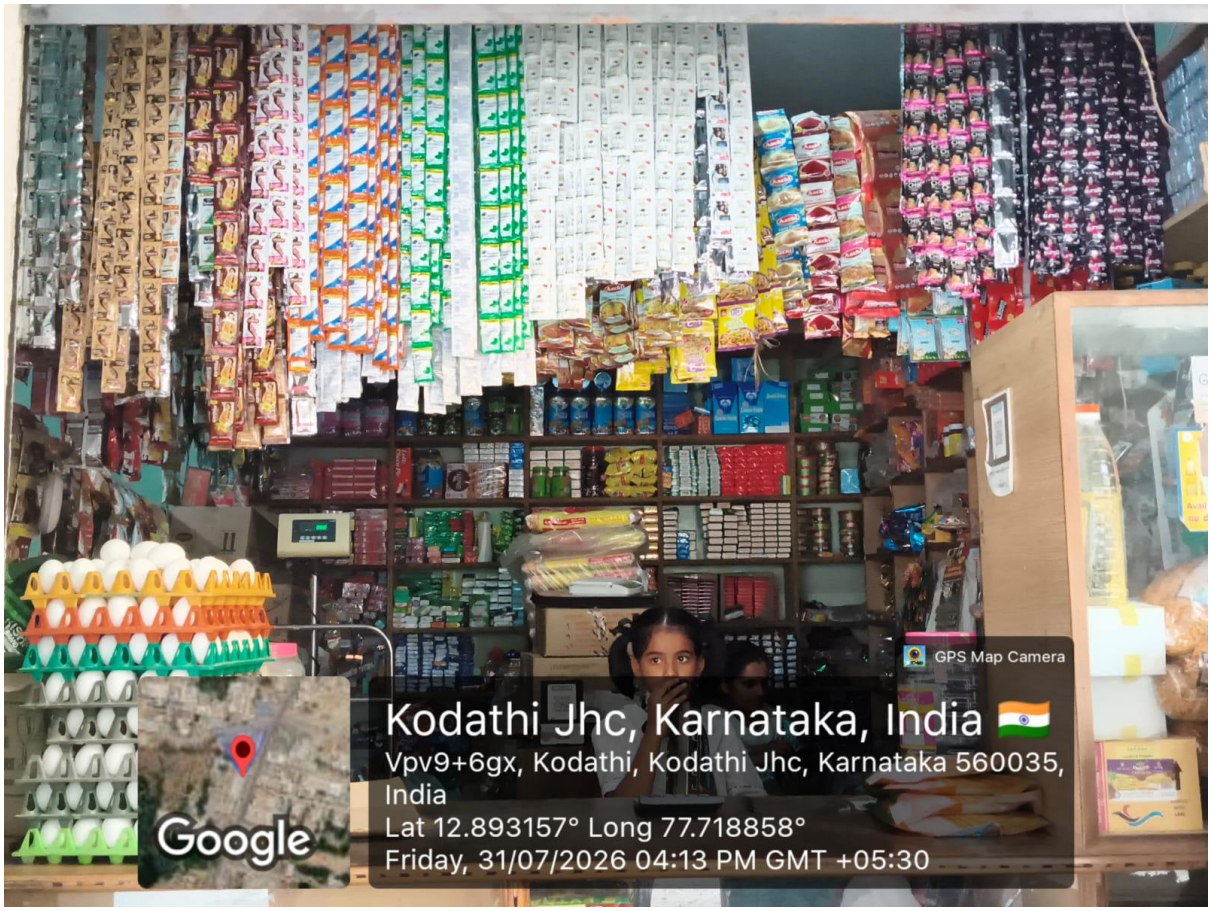

R.V. STORE
GPS Map Camera
Kodathi Jhc, Karnataka, India
1, Kodathi Vlg Rd, Opposite To White Birdie Badminton Academy, Sarjapur, Kodathi Jhc, Karnataka 560035, India
Lat 12.892175° Long 77.71845°
Friday, 31/07/2026 04:24 PM GMT +05:30
Google


K.R.V. STORE
GPS Map Camera
Google
Kodathi Jhc, Karnataka, India
1, Kodathi Vlg Rd, Opposite To White Birdie Badminton Academy, Sarjapur, Kodathi Jhc, Karnataka 560035, India
Lat 12.892156° Long 77.718515°
Friday, 31/07/2026 04:19 PM GMT +05:30


General Store
Kodathi Main Road, Bangaluru-35
NATURAL JAGGERY POWDER
DIABETIC FRIENDLY
BEST QUALITY
GPS Map Camera
Google
Kodathi Jhc, Karnataka, India
Vpr9+qcf, Kodathi Vlg Rd, Kodathi, Kodathi Jhc, Karnataka 560035, India
Lat 12.891895° Long 77.718495°
Friday, 31/07/2026 04:26 PM GMT +05:30


GPS Map Camera
Kodathi Jhc, Karnataka, India
Vpv9+6gx, Kodathi, Kodathi Jhc, Karnataka 560035, India
Lat 12.893255° Long 77.718926°
Friday, 31/07/2026 04:01 PM GMT +05:30
Google


ಆರೋಗ್ಯ ಸಾಥಿ
AROGYA SAATHI
ನೈಸರ್ಗಿಕ ನಾಟಿ ಬೆಲ್ಲದ ಪುಡಿ
NATURAL JAGGERY POWDER
ಪರಿಶುದ್ಧ ಮತ್ತು ರಾಸಾಯನಿಕ ಮುಕ್ತ
RICH IN IRON
PURIFIES BLOOD
INSTANT ENERGY
INCREASES IMMUNITY
CLEANSES THE RESPIRATORY TRACK
GPS Map Camera
Kodathi Jhc, Karnataka, India
Vpv9+6gx, Kodathi, Kodathi Jhc, Karnataka 560035, India
Lat 12.893238° Long 77.71887°
Friday, 31/07/2026 03:59 PM GMT +05:30
Google



11. Focused Questionnaire

Section A — Store Profile

Store Name: _____

Village / Location: _____

Date: _____

Time: _____

Store Type (Kirana / General Store / Mini Mart / Other):

_____

Estimated Daily Customer Footfall:

_____

Years in Business: _____

Owner/Respondent Name (optional):

_____

Distance from Nearest Town/Distribution Hub:

_____

Approx. Shop Size (sq. ft. / small / medium / large):

_____

Number of Staff: _____

Section B — Store Observation Checklist

B1. Brand & SKU Availability

☐ List all shampoo brands visible on shelf (name each)

☐ Best-selling brand (based on stock rotation / retailer pointer)

☐ Total number of distinct SKUs on display

☐ Presence of local/unbranded/regional players

Notes:

: _____

B2. Shelf Placement & Visibility

☐ Shampoo category has a dedicated shelf/section

☐ Leading brand is placed at eye level

☐ Category is visible from store entrance

☐ Shelf is cluttered / crowded

☐ Shelf is clean and well-organised

Notes:

: _____

B3. Packaging & Pricing

☐ Sachets available

☐ Bottles available

☐ Family packs available

☐ Refill packs available

☐ Price range of sachets: _____

☐ Price range of bottles: _____

☐ Price range of family packs: _____

B4. Promotion & Merchandising

☐ Posters/danglers/banners present

☐ Active discount or combo offer

☐ Free-sample or trial pack visible

☐ Point-of-purchase display / standee present

B5. Observed Customer Purchase Behaviour

☐ Customer picks quickly without comparing (habitual)

☐ Customer compares 2+ brands before deciding

☐ Customer reads label / ingredients

☐ Customer asks retailer for a recommendation

☐ Customer purchase appears price-driven

☐ Approx. time spent choosing (seconds/minutes): _____

B6. Brand Positioning Observed

☐ Herbal/Ayurvedic brands present and prominent

☐ Value-for-money / economy brands present and prominent

☐ Premium brands present and prominent

B7. Digital & Supply Indicators

☐ UPI/QR code payment sticker visible

☐ POS/card machine present

☐ Evidence of WhatsApp ordering (mentioned or visible)

☐ Distributor visit schedule known to retailer

☐ Any brand/SKU currently out of stock — specify: _____

Section C — Retailer Interview Guide

C1. Sales Pattern

1. Which shampoo brands sell the most in your store, and why do you think that is?

2. Which brands move slowly, and why?

3. Do sales change with season (e.g., summer vs. winter, festivals)?

4. How do you decide what to stock and in what quantity?

C2. Consumer Behaviour

1. Do most of your customers stick to one brand, or do they switch often?

2. What usually makes a customer switch brands?

3. How familiar are your customers with different shampoo brands and their benefits?

4. Would you say most purchases are out of habit rather than active choice?

5. How price-sensitive are your customers for shampoo?

6. How much do customers rely on your recommendation?

7. Do advertisements (TV, radio, social media) influence what customers ask for?

8. Does fragrance play a big role in customer choice?

9. Do customers care about or ask about ingredients?

10. Do customers have a packaging preference (sachet/bottle/pump)?

11. Is there demand for herbal or Ayurvedic shampoos specifically?

12. How do family members influence the purchase — do children or women mainly decide?

C3. New Product Acceptance

1. Would your customers be willing to try a new shampoo brand?

2. What would encourage them to try something new — free samples, introductory pricing, your recommendation, or discounts?

3. Have you seen a new brand succeed here recently? What worked?

C4. Sustainability

1. Are your customers aware of or concerned about plastic waste from sachets/bottles?

2. Is there any demand for refill packs or eco-friendly packaging?

3. Have you noticed any shift in customer attitude towards sustainability over the last few years?

C5. Digital Adoption

1. Do customers pay via UPI/QR code for such purchases, or mostly cash?

2. Do you order stock via WhatsApp or a distributor app?

3. Do you or your distributor use any online ordering system?

4. How do you usually communicate with your distributor/company (calls, app, in-person)?

C6. Recommendation to NOVA

1. If NOVA (a new FMCG company) launches a shampoo for this market, what should it focus on most — price, packaging, fragrance, herbal positioning, or something else?

2. What is the one mistake new brands usually make when entering this market?

Section D — Customer Questionnaire

1. Which shampoo brand do you currently buy?

2. Why do you prefer this brand?

3. How long have you been using it?

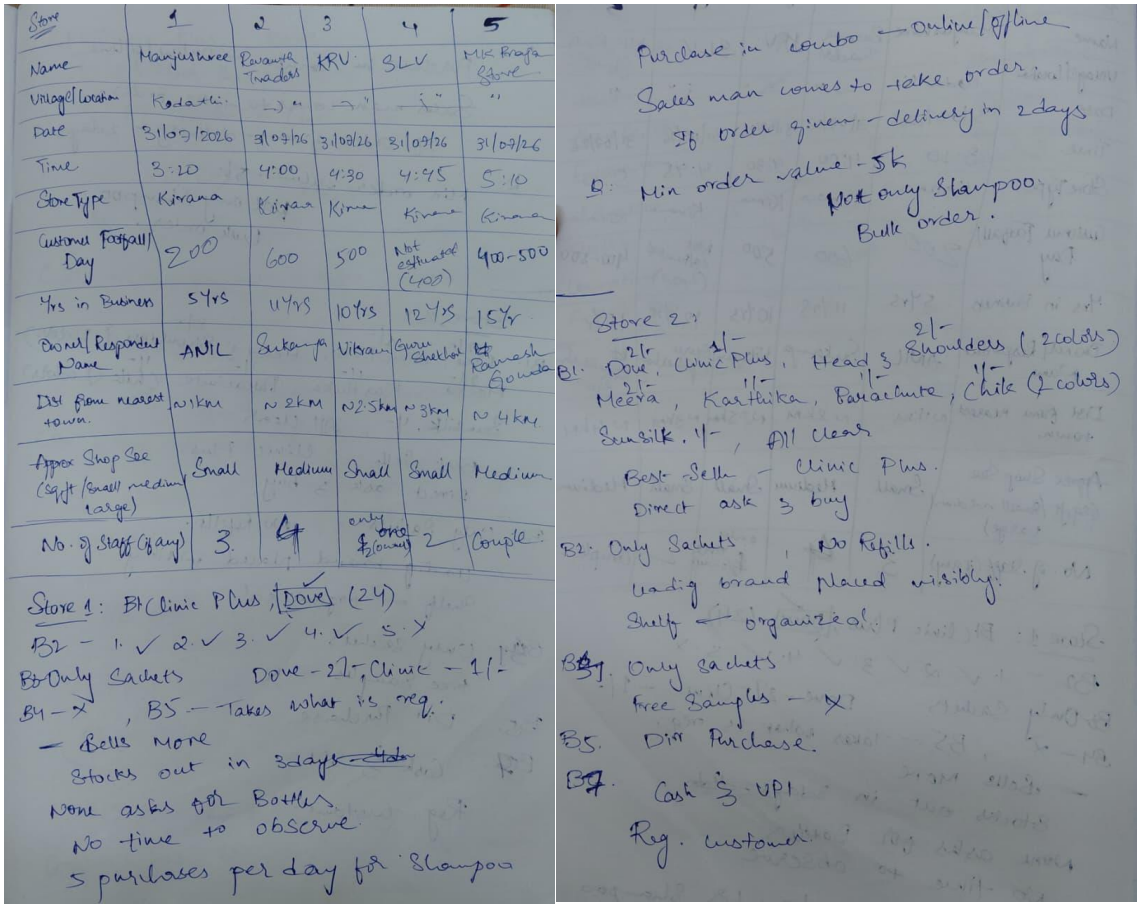
4. Have you ever switched brands? If yes, why?

5. Do advertisements influence your choice?

6. Does fragrance matter to you when choosing?

7. How important is price in your decision?
8. Do you read the ingredients before buying?
9. Do you prefer herbal/Ayurvedic shampoos?
10. Do you prefer sachets or bottles? Why?
11. How often do you buy — weekly or monthly?
12. Would you be open to trying a new brand?
13. How much does the shopkeeper's recommendation matter to you?
4. Are you aware of or concerned about eco-friendly/refill packaging?

12. Notes made during interview



Store	1	2	3	4	5
Name	Manjushree	Basavesh Traders	KRV	SLV	MK Bhagya Store
Village/Location	Kodathi	"	"	"	"
Date	31/07/2026	31/07/26	31/07/26	31/07/26	31/07/26
Time	3:20	4:00	4:30	4:45	5:10
Store Type	Kirana	Kirana	Kirana	Kirana	Kirana
Customer Footfall/Day	200	600	500	Not estimated (400)	400-500
Yrs in Business	5 Yrs	11 Yrs	10 Yrs	12 Yrs	15 Yr
Owner/Respondent Name	ANIL	Sukanya	Vikram	Guru Shekhar	Ramesh Gowda
Dist from nearest town	1 km	2 KM	2.5 km	3 KM	4 KM
Appox Shop Size (sqft/small/medium/large)	Small	Medium	Small	Small	Medium
No. of Staff (if any)	3	4	only 1 (Owner)	2	Couple

Store 1: B1 Clinic Plus, Dove (2₹)
B2 – 1. ✓ 2. ✓ 3. ✓ 4. ✓ 5. ✗
B3 Only Sachets Dove – 2/-, Clinic – 1/-
B4 – ✗ , B5 – Takes what is req.
– Sells More
Stocks out in 3days
None asks for Bottles
No time to observe
5 purchases per day for Shampoo

Purchase in combo – online/offline
Sales man comes to take order.
If order given – delivery in 2days
Q: Min order value – 5k
Not only Shampoo
Bulk order.

Store 2:
B1. Dove, Clinic Plus, Head & Shoulders (2 colors) 2/-
Meera, Karthika, Parachute, Chik (2 colors) 1/-
Sunsilk. 1/-, All Clear
Best Seller – Clinic Plus.
Direct ask & buy
B2. Only Sachets, No Refills.
Leading brand placed visibly.
Shelf – organized.
B3. Only sachets
Free Samples – ✗
B5. Dist Purchase.
B7. Cash & UPI
Reg. customer.

C1. 1. Clinic Plus, Dove.
2. All Clear Shampoo Showers.
3. All Season – Clinic Plus
Dove
Chik
Sunsilk
4. Shop owners order on demand.

C2. 1. Weekly once (960 sachets) – 1 box
2. Cust directly see the shampoos
Specify – anti-dandruff
All age groups (old & teens)

C3. 1. Try new brand ?
If shopkeeper finds benefit in specific brand, they try to ~~push~~ sell it to the customer.
If dist is giving profit – push
If not – X.
3k – 4k – daily.
Clinic Plus + Dove + Sunsilk
Hindustan
HUL → P&G.
Company has specific brand. Sales man. They only come to take order.

Store 3
1. Clinic Plus, Chik, Sunsilk, HUL.
Kartika, Clear 2/- Meera X
1 box 2 box per week
13 – 14 sachets per day
~~Asked~~ by name

B? 1.) UPI
2.) Free Samples ✓→ Clinic Plus

C1. Clinic Plus
Repeat customers
Order Based on Sales.

C2. 1. ✓
2.
Herbal X.
Distributor – weekly once

Store 4.
HUL, Dove, Clinic Plus, Chik, Sunsilk, Clear, Meera
Best seller – Dove.
Ask directly & Buy.

B? Only Sachets
No one asks for Bottles
(Mostly Dailywage workers)
Shelf – Organized.
Visible outside
Free Samples X
Cash & UPI (order with a combo).
→ No scanner barcod switch.
Order to dist based on demand.
Weekly once order.
Age grp (middle aged)
Kids (parents)

C? No herbal demand
1 box based on demand.

Store-5: Clinic Plus, HUL, Meera, Sunsilk, All Clear, Chik, Kartika, Dove.
~~Sachets~~
P&G
Pan
Only Sachets.
50 sachets + 4 free.
Free Samples.

B5.
4 – 5 boxes per week –
weekly – 10 distributer.
58 new customers, 450 customers
UPI.
Purchase by name.

C.